Third Quarter 2014 Earnings Call

October 24, 2014

Overview

SALLI SCHWARTZ
GLOBAL HEAD OF INVESTOR RELATIONS

Agenda

1. Third Quarter 2014 Results
Ray McDaniel, President and Chief Executive Officer

2. Financial and Operating Highlights
Linda Huber, Executive Vice President and Chief Financial Officer

3. 2014 Outlook
Ray McDaniel, President and Chief Executive Officer

4. Q&A
Ray McDaniel, President and Chief Executive Officer
Linda Huber, Executive Vice President and Chief Financial Officer
Michel Madelain, President and Chief Operating Officer, Moody's Investors Service
Mark Almeida, President, Moody's Analytics

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2014 and other forward-looking statements in this presentation are made as of October 24, 2014, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the level of merger and acquisition activity in the US and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the current world-wide credit disruptions and economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act and anticipated regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation to which the Company may be subject from time to time; provisions in the Dodd-Frank Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those legacy tax matters and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; a decline in the demand for credit risk management tools by financial institutions; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2013 and in other filings made by the Company from time to time with the Securities and Exchange Commission.

1. Third Quarter 2014 Results

RAY MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Third Quarter 2014 Results and Comparison to Third Quarter 2013

Moody's Corporation

» Revenue	↑ 16% to $816 million
» Expenses	↑ 13% to $466 million
» Operating Income	↑ 20% to $350 million
» Adjusted Operating Income	↑ 18% to $373 million
» Operating Margin	• 42.9%
» Adjusted Operating Margin	• 45.7%
» GAAP EPS	↑ 20% to $1.00
» Non-GAAP EPS*	↑ 17% to $0.97

* 2014 Non-GAAP EPS excluded a $0.03 benefit form the resolution of a legacy tax matter.

Year-to-Date 2014 Performance and Comparison to Year-to-Date 2013

Moody's Corporation

- Revenue — ↑ 12% to $2.5 billion
  - MIS — ↑ 10% to $1.7 billion
  - MA — ↑ 17% to $766 million
- Operating Expenses* — ↑ 7% to $1.4 billion
- Operating Income* — ↑ 19% to $1.1 billion
- Adjusted Operated Income* — ↑ 17% to $1.2 billion
- Operating Margin* — • 44.5%
- Adjusted Operating Margin* — • 47.3%

* Includes first quarter 2013 litigation settlement

Year-to-Date 2014 Performance and Comparison to Year-to-Date 2013

Moody's Corporation

- GAAP EPS ↑ 31% to $3.48
- Non-GAAP EPS* ↑ 10% to $3.09

* Year-to-date 2014 non-GAAP EPS excludes a $0.36 gain resulting from Moody's acquisition of a controlling interest in ICRA Ltd. in the second quarter and the $0.03 legacy tax benefit in the third quarter. Year-to-date 2013 non-GAAP EPS excludes the first quarter litigation settlement charge of $0.14.

2. Financial and Operating Highlights

LINDA HUBER

EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Third Quarter 2014 Results and Comparison to Third Quarter 2013

Moody's Corporation Revenue

» Total Global	↑ 16% at $816 million
» U.S.	↑ 15% to $449 million
» Non-U.S.	↑ 17% to $367 million • 45% of Total Global
» Recurring Revenue	↑ 10% to $415 million • 51% of Total Global

Third Quarter 2014 Results and Comparison to Third Quarter 2013

MIS Revenue by Geography

» Total MIS	↑ 14% to $543 million
» U.S.	↑ 13% to $329 million
» Non-U.S.	↑ 14% to $214 million • 39% of Total MIS

Third Quarter 2014 Results and Comparison to Third Quarter 2013

MIS Revenue by Line of Business

- Corporate Finance: $261 million
  - Global ↑ 12%
  - U.S. ↑ 8%
  - Non-U.S. ↑ 19%

- Structured Finance: $102 million
  - Global ↑ 22%
  - U.S. ↑ 31%
  - Non-U.S. ↑ 7%

Third Quarter 2014 Results and Comparison to Third Quarter 2013

MIS Revenue by Line of Business

» Financial Institutions: $92 million

–	Global	↑ 16%
–	U.S.	↑ 9%
–	Non-U.S.	↑ 22%

» Public, Project & Infrastructure Finance: $89 million

–	Global	↑ 7%
–	U.S.	↑ 15%
–	Non-U.S.	↓ 5%

Third Quarter 2014 Results and Comparison to Third Quarter 2013

MA Revenue by Geography

- » Total MA — ↑ 20% to $273 million
- » U.S. — ↑ 19% to $120 million
- » Non-U.S. — ↑ 21% to $153 million
  - 56% of Total MA
- » More than two-thirds of MA's growth in the quarter was organic, with the remainder coming from acquisitions.

Third Quarter 2014 Results and Comparison to Third Quarter 2013

MA Revenue by Line of Business

» RD&A: $147 million

– Global	↑	10%
		• 54% of total MA revenue
		• mid-90's customer retention rate
– U.S.	↑	6%
– Non-U.S.	↑	14%

» ERS: $81 million

– Global	↑	26%
– U.S.	↑	23%
– Non-U.S.	↑	27%
– TTM* Revenue	↑	14%
– TTM* Sales	↑	15%

*Trailing twelve months

Third Quarter 2014 Results and Comparison to Third Quarter 2013

MA Revenue by Line of Business

» Professional Services: $45 million

– Global	↑	54%
– U.S.	↑	130%
– Non-U.S.	↑	28%

Third Quarter 2014 Results and Comparison to Third Quarter 2013

Moody's Corporation

» Total Expenses — ↑ 13% to $466 million

» Operating Margin
- 42.9%
  - up 160 basis points from 41.3% in 3Q13

» Adjusted Operating Margin
- 45.7%
  - up 110 basis points from 44.6% in 3Q13

» Effective Tax Rate
- 33.5%
  - up from 29.1% in 3Q13

Capital Allocation

» During 3Q14, repurchased 3.5 million shares at a total cost of $320.5 million, or an average of $91.89, and issued 900 thousand shares under our employee stock-based compensation plans

» Shares outstanding totaled 208.6 million as of September 30, 2014
  – 3% decline from September 30, 2013

» $1 billion of share repurchase authority remains as of September 30, 2014

Balance Sheet and Free Cash Flow

- As of September 30, 2014, Moody's had:
  - $2.5 billion of outstanding debt
  - $1 billion of additional debt capacity under its revolving credit facility
  - Total cash, cash equivalents and short-term investments of $2.1 billion
    - 66% of total cash holdings were maintained outside the U.S.

- Free cash flow of $653 million for the first nine months of 2014 increased $30.5 million, or 5%, from the same period a year ago

3. 2014 Outlook

RAY MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Regulatory Recap

United States:

- In August, the SEC voted to adopt its final rules for NRSROs as required by the Financial Reform Act. The final rules closely track the proposed rules which had been published in 2011.
- In anticipation of the final rules, Moody's has made substantial technology and other investments over the past several years.
- Moody's will be in a position to implement the relevant compliance obligations by the SEC's set deadlines.

European Union:

- Certain of the provisions of CRA3 are subject to further rule-making.
- The next round is expected to conclude by the first quarter of 2015 and will include certain reporting requirements and disclosure obligations.

Recent Market Recognition

» **Moody's Investors Service (MIS) and Moody's Analytics (MA) both recognized as market leaders:**

- MIS:
  - Institutional Investor #1 U.S. Credit Rating Agency 2012-2014,
  - FinanceAsia Fixed Income Research Poll Most Influential Credit Rating Agency in Asia 2013-2014

- MA:
  - 2014 Asia Risk Technology Rankings best Regulatory Capital Calculation Management provider and best Asset and Liability Management (ALM) provider

2014 Full-Year Financial Outlook Highlights*

» Non-GAAP EPS	• In the range of $3.95 to $4.05 – Excludes the $0.36 ICRA gain resulting from Moody's acquisition of a controlling interest in ICRA Ltd. in the second quarter and the $0.03 legacy tax benefit in the third quarter.
» MIS Revenue	↑ high-single-digit % range
» MIS Non-U.S	↑ approximately 10%
» Corporate Finance	↑ approximately 10%
» Structured Finance	↑ high-single-digit % range
» Public Project and Infrastructure Finance	↑ mid-single-digit % range

* Refer to "Moody's Corporation Reports Results for Third Quarter 2014" press release for a full review of guidance

4. Q&A Session

» Ray McDaniel

President and Chief Executive Officer, Moody's Corporation

» Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

» Michel Madelain

President and Chief Operating Officer, Moody's Investors Service

» Mark Almeida

President, Moody's Analytics

Replay Details

- Available from 3:30pm (Eastern Time) October 24, 2014 until 3:30pm (Eastern Time) November 22, 2014

- Telephone Details:
  - U.S. +1-888-203-1112
  - Non-U.S. +1-719-457-0820
  - Passcode 9971396

- Webcast Details:
  - Go to http://ir.moodys.com
  - Click on “Events & Presentations” featured on the left
  - Click on the link for “3Q 2014 Earnings Conference Call”

Appendix

Consolidated Statements of Operations
(Unaudited)

Amounts in millions, except per share amounts	Three Months Ended September 30, 2014	Three Months Ended September 30, 2013	Nine Months Ended September 30, 2014	Nine Months Ended September 30, 2013
Revenue	$ **816.1**	$ **705.5**	$ **2,456.8**	$ **2,193.3**
Expenses:				
Operating	236.7	203.5	674.8	601.4
Selling, general and administrative	206.5	187.1	619.0	599.1
Depreciation and amortization	23.2	23.4	68.6	70.1
Total expenses	**466.4**	**414.0**	**1,362.4**	**1,270.6**
Operating income	**349.7**	**291.5**	**1,094.4**	**922.7**
Non-operating (expense) income, net				
Interest (expense) income, net	(37.7)	(24.4)	(87.5)	(68.1)
Other non-operating (expense) income, net	16.4	(3.6)	15.5	12.9
ICRA Gain	-	-	102.8	-
Total non-operating (expense) income, net	(21.3)	(28.0)	30.8	(55.2)
Income before provision for income taxes	**328.4**	**263.5**	**1,125.2**	**867.5**
Provision for income taxes	109.9	76.7	360.6	261.2
Net income	218.5	186.8	764.6	606.3
Less: net income attributable to noncontrolling interests	3.3	2.9	12.2	8.5
Net income attributable to Moody's Corporation	$ **215.2**	$ **183.9**	$ **752.4**	$ **597.8**
Earnings per share attributable to Moody's common shareholders				
Basic	$ 1.02	$ 0.84	$ 3.55	$ 2.70
Diluted	$ 1.00	$ 0.83	$ 3.48	$ 2.66
Weighted average number of shares outstanding				
Basic	210.4	217.8	212.1	221.1
Diluted	214.2	222.0	216.1	225.1

Supplemental Revenue Information
(Unaudited)

Amounts in millions	Three Months Ended September 30, 2014	Three Months Ended September 30, 2013	Nine Months Ended September 30, 2014	Nine Months Ended September 30, 2013
Moody's Investors Service				
Corporate Finance	$ 260.7	$ 233.0	$ 846.0	$ 754.2
Structured Finance	102.1	83.5	308.0	273.7
Financial Institutions	91.8	78.9	269.4	249.9
Public, Project and Infrastructure Finance	88.5	82.7	267.2	258.8
Intersegment royalty	22.3	19.6	65.7	57.5
Sub-total MIS	565.4	497.7	1,756.3	1,594.1
Eliminations	(22.3)	(19.6)	(65.7)	(57.5)
Total MIS revenue	543.1	478.1	1,690.6	1,536.6
Moody's Analytics				
Research, Data and Analytics	146.8	133.7	432.4	393.6
Enterprise Risk Solutions	81.1	64.4	208.1	177.6
Professional Services	45.1	29.3	125.7	85.5
Intersegment revenue	3.4	3.0	10.0	8.5
Sub-total MA	276.4	230.4	776.2	665.2
Eliminations	(3.4)	(3.0)	(10.0)	(8.5)
Total MA revenue	273.0	227.4	766.2	656.7
Total Moody's Corporation revenue	**$ 816.1**	**$ 705.5**	**$ 2,456.8**	**$ 2,193.3**
Moody's Corporation revenue by geographic area				
United States	$ 449.1	$ 391.0	$ 1,335.8	$ 1,209.3
International	367.0	314.5	1,121.0	984.0
	$ 816.1	**$ 705.5**	**$ 2,456.8**	**$ 2,193.3**

Non-Operating (Expense) Income, Net

Amounts in millions	Three Months Ended September 30, 2014	Three Months Ended September 30, 2013	Nine Months Ended September 30, 2014	Nine Months Ended September 30, 2013
Interest expense, net:				
Expense on borrowings	**$ (38.8)**	$ (23.9)	**$ (90.5)**	$ (65.4)
Income	**1.8**	1.6	**5.1**	4.0
Legacy Tax benefit [a]	**0.7**	-	**0.7**	-
UTPs and other tax related liabilities	**(1.7)**	(2.1)	**(3.2)**	(6.7)
Capitalized	**0.3**	-	**0.4**	-
Total interest expense, net	**$ (37.7)**	$ (24.4)	**$ (87.5)**	$ (68.1)
Other non-operating (expense) income, net:				
FX gain (loss)	**$ 7.6**	$ (5.8)	**$ 1.5**	$ 6.9
Legacy Tax benefit [a]	**6.4**	-	**6.4**	-
Joint venture income	**2.6**	2.5	**7.9**	7.4
Other	**(0.2)**	(0.3)	**(0.3)**	(1.4)
Other non-operating income (expense), net	**16.4**	(3.6)	**15.5**	12.9
ICRA Gain	-	-	102.8	-
Total non-operating (expense) income, net	**$ (21.3)**	$ (28.0)	**$ 30.8**	$ (55.2)

[a] The 2014 amounts represent the favorable resolution of a Legacy Tax Matter

Selected Consolidated Balance Sheet Data (Unaudited)

Amounts in millions	September 30, 2014	December 31, 2013
Cash and cash equivalents	$ 1,940.8	$ 1,919.5
Short-term investments	164.8	186.8
Total current assets	3,061.9	2,968.8
Non-current assets	1,931.8	1,426.3
Total assets	4,993.7	4,395.1
Total current liabilities	1,041.7	1,141.3
Total debt [1]	2,536.5	2,101.8
Other long-term liabilities	797.6	724.1
Total shareholders' equity	480.3	347.9
Redeemable noncontrolling interest*	137.6	80.0
Total liabilities, redeemable noncontrolling interest and shareholders' equity	4,993.7	4,395.1
Actual number of shares outstanding	208.6	214.0

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

[1] Total debt consists of the following:	September 30, 2014	December 31, 2013
Series 2005-1 Notes due 2015 [a]	$ -	$ 310.3
Series 2007-1 Notes due 2017	300.0	300.0
2010 Senior Notes due 2020 [b]	495.9	497.8
2012 Senior Notes due 2022 [c]	496.8	496.5
2013 Senior Notes due 2024 [d]	497.4	497.2
2014 Senior Notes due 2019 [e]	448.0	-
2014 Senior Notes due 2044 [f]	298.4	-
Total debt	$ 2,536.5	$ 2,101.8

[a] Includes a $10.3 million fair value adjustment on an interest rate hedge at December 31, 2013

[b] Represents $500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount and include a $2.1 million reduction relating to a fair value adjustment on an interest rate hedge at September 30, 2014

[c] Represents $500 million of 4.5% publicly traded Senior Notes which mature on September 1, 2022; the notes were offered to the public at 99.218% of the face amount

[d] Represents $500 million of 4.9% publicly traded Senior Notes which mature on February 15, 2024; the notes were offered to the public at 99.431% of the face amount

[e] Represents $450 million of 2.75% publicly traded Senior Notes which mature on July 15, 2019; the notes were offered to the public at 99.838% of the face amount and include a $1.3 million reduction relating to a fair value adjustment on an interest rate hedge at September 30, 2014

[f] Represents $300 million of 5.25% publicly traded Senior Notes which mature on July 15, 2044; the notes were offered to the public at 99.462% of the face amount

Financial Information by Segment

	Three Months Ended September 30,							
	2014				2013			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	$ 565.4	$ 276.4	$ (25.7)	$ 816.1	$ 497.7	$ 230.4	$ (22.6)	$ 705.5
Operating, selling, general and administrative expense	260.8	208.1	(25.7)	443.2	235.6	177.6	(22.6)	390.6
Adjusted operating income	304.6	68.3	-	372.9	262.1	52.8	-	314.9
Depreciation and amortization	11.5	11.7	-	23.2	12.1	11.3	-	23.4
Operating income	$ 293.1	$ 56.6	$ -	$ 349.7	$ 250.0	$ 41.5	$ -	$ 291.5
Adjusted operating margin	53.9%	24.7%		45.7%	52.7%	22.9%		44.6%
Operating margin	51.8%	20.5%		42.9%	50.2%	18.0%		41.3%

	Nine Months Ended September 30,							
	2014				2013			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	$ 1,756.3	$ 776.2	$ (75.7)	$ 2,456.8	$ 1,594.1	$ 665.2	$ (66.0)	$ 2,193.3
Operating, selling, general and administrative expense	775.4	594.1	(75.7)	1,293.8	756.1	510.4	(66.0)	1,200.5
Adjusted operating income	980.9	182.1	-	1,163.0	838.0	154.8	-	992.8
Depreciation and amortization	34.3	34.3	-	68.6	34.9	35.2	-	70.1
Operating income	$ 946.6	$ 147.8	$ -	$ 1,094.4	$ 803.1	$ 119.6	$ -	$ 922.7
Adjusted operating margin	55.9%	23.5%		47.3%	52.6%	23.3%		45.3%
Operating margin	53.9%	19.0%		44.5%	50.4%	18.0%		42.1%

Transaction and Relationship Revenue

	Three Months Ended September 30,					
	2014			2013		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	$ 180.0	$ 80.7	$ 260.7	$ 163.5	$ 69.5	$ 233.0
	69%	31%	100%	70%	30%	100%
Structured Finance	60.6	41.5	102.1	45.3	38.2	83.5
	59%	41%	100%	54%	46%	100%
Financial Institutions	34.7	57.1	91.8	23.5	55.4	78.9
	38%	62%	100%	30%	70%	100%
Public, Project and Infrastructure Finance	51.2	37.3	88.5	47.9	34.8	82.7
	58%	42%	100%	58%	42%	100%
Total MIS	**$ 326.5**	**$ 216.6**	**$ 543.1**	$ 280.2	$ 197.9	$ 478.1
	60%	**40%**	**100%**	59%	41%	100%
Moody's Analytics	**$ 74.3**	**$ 198.7**	**$ 273.0**	$ 49.0	$ 178.4	$ 227.4
	27%	**73%**	**100%**	22%	78%	100%
Total Moody's Corporation	**$ 400.8**	**$ 415.3**	**$ 816.1**	$ 329.2	$ 376.3	$ 705.5
	49%	**51%**	**100%**	47%	53%	100%

Refer to “Moody’s Corporation Reports Results for Third Quarter 2014” press release for table details

Transaction and Relationship Revenue (continued)

	Nine Months Ended September 30,					
	2014			2013		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	$ 606.3	$ 239.7	$ 846.0	$ 555.5	$ 198.7	$ 754.2
	72%	28%	100%	74%	26%	100%
Structured Finance	186.3	121.7	308.0	159.2	114.5	273.7
	60%	40%	100%	58%	42%	100%
Financial Institutions	96.3	173.1	269.4	87.3	162.6	249.9
	36%	64%	100%	35%	65%	100%
Public, Project and Infrastructure Finance	156.0	111.2	267.2	157.2	101.6	258.8
	58%	42%	100%	61%	39%	100%
Total MIS	**$ 1,044.9**	**$ 645.7**	**$ 1,690.6**	$ 959.2	$ 577.4	$ 1,536.6
	62%	**38%**	**100%**	62%	38%	100%
Moody's Analytics	**$ 187.6**	**$ 578.6**	**$ 766.2**	$ 134.4	$ 522.3	$ 656.7
	24%	**76%**	**100%**	20%	80%	100%
Total Moody's Corporation	**$ 1,232.5**	**$ 1,224.3**	**$ 2,456.8**	$ 1,093.6	$ 1,099.7	$ 2,193.3
	50%	**50%**	**100%**	50%	50%	100%

Refer to "Moody's Corporation Reports Results for Third Quarter 2014" press release for table details

Non-GAAP Financial Measures

(amounts in millions)	Three Months Ended September 30,		Nine Months Ended September 30,	
	2014	2013	2014	2013
Diluted EPS - GAAP	$ 1.00	$ 0.83	$ 3.48	$ 2.66
Impact of litigation settlement charge	-	-	-	0.14
ICRA Gain	-	-	(0.36)	-
Legacy Tax	(0.03)	-	(0.03)	-
Diluted EPS - Non-GAAP	$ 0.97	$ 0.83	$ 3.09	$ 2.80

	Projected full-year ended December 31, 2014
Diluted EPS guidance - GAAP	$ 4.34 - 4.44
ICRA Gain	(0.36)
Legacy Tax	(0.03)
Diluted EPS guidance - Non-GAAP	$ 3.95 - 4.05

Refer to "Moody's Corporation Reports Results for Third Quarter 2014" press release for table details

Adjusted Operating Income and Adjusted Operating Margin

(amounts in millions)	Three Months Ended September 30, 2014	Three Months Ended September 30, 2013	Nine Months Ended September 30, 2014	Nine Months Ended September 30, 2013
Operating income	**$ 349.7**	$ 291.5	**$ 1,094.4**	$ 922.7
Depreciation & amortization	**23.2**	23.4	**68.6**	70.1
Adjusted operating income	**$ 372.9**	$ 314.9	**$ 1,163.0**	$ 992.8
Operating margin	**42.9%**	41.3%	**44.5%**	42.1%
Adjusted operating margin	**45.7%**	44.6%	**47.3%**	45.3%

	Full-Year Ended December 31, 2014
Operating margin guidance	42% - 43%
Depreciation and amortization	3%
Adjusted operating margin guidance	45% - 46%

Refer to "Moody's Corporation Reports Results for Third Quarter 2014" press release for table details

Free Cash Flow

(amounts in millions)	Nine Months Ended September 30, 2014	Nine Months Ended September 30, 2013
Net cash flows from operating activities	$ 709.8	$ 653.5
Capital additions	(56.8)	(31.0)
Free cash flow	$ 653.0	$ 622.5
Net cash used in investing activities	$ (244.6)	$ (222.8)
Net cash used in financing activities	$ (393.4)	$ (343.2)

Refer to "Moody's Corporation Reports Results for Third Quarter 2014" press release for table details

2014 Outlook

Full-year 2014 Moody's Corporation guidance		
MOODY'S CORPORATION	**Current guidance as of October 24, 2014**	**Last publicly disclosed guidance as of September 30, 2014**
Revenue	growth in the low-double-digit percent range	NC
Operating expenses	growth in the high-single-digit percent range	NC
Growth in compliance and regulatory expense	Less than $5 million	NC
Depreciation & amortization	Approximately $100 million	NC
Operating margin	42% to 43%	NC
Adjusted operating margin	45% to 46%	NC
Effective tax rate	Approximately 33%	NC
Non-GAAP EPS*	$3.95 to $4.05	NC
Capital expenditures	Approximately $90 million	NC
Free cash flow	Approximately $900 million	NC
Share repurchases	Up to $1.25 billion (subject to available cash, market conditions and other ongoing capital allocation decisions)	NC

Full-year 2014 revenue guidance		
MOODY'S INVESTORS SERVICE	**Current guidance as of October 24, 2014**	**Last publicly disclosed guidance as of September 30, 2014**
MIS global	growth in the high-single-digit percent range	NC
MIS U.S.	growth in the high-single-digit percent range	NC
MIS Non-U.S.	growth of approximately 10%	growth in the low-double-digit percent range
Corporate finance	growth of approximately 10%	growth in the low-double-digit percent range
Structured finance	growth in the high-single-digit percent range	growth of approximately 10%
Financial institutions	growth in the mid-single-digit percent range	NC
Public, project and infrastructure finance	growth in the mid-single-digit percent range	growth in the high-single-digit percent range
MOODY'S ANALYTICS		
MA global	growth in the mid-teens percent range	NC
MA U.S.	growth in the low-double-digit percent range	NC
MA Non-U.S.	growth in the high-teens percent range	NC
Research, data, and analytics	growth in the high-single-digit percent range	NC
Enterprise risk solutions	growth in the mid-teens percent range	NC
Professional services	growth of approximately 40%	NC

NC- There is no difference between the Company's current guidance and the last publicly disclosed guidance for this item

* Full-Year 2014 GAAP Diluted EPS guidance is $4.34 to $4.44 and includes the $0.36 ICRA Gain and the $0.03 Legacy Tax benefit

MOODY'S

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